

The J.P. Morgan View

Tighter Policy Meets AI Capex: Risk Resilient For Now

- Fed Chair Warsh's Jackson Hole message was hawkish: if underlying inflation does not improve, "we have work to do." He reinforced 2% PCE as a firm, fixed target, and the policy rate as the primary lever.
- We still expect a Fed hike in December, but September is live given the firm labour market print, but dependent on next week's CPI. Into year-end, we also expect 25bp hikes from the Bank of England, Riksbank, Norges Bank and RBNZ, and two 25bp hikes from the ECB ([new call](#)) and the BoJ (both in Sep and Dec).
- Middle East escalation headlines have lifted Brent prices and contributed to a broad, hawkish repricing and a sharp DM bear-flattening over the past two weeks. Oil is near the top end of its recent mean-reverting range; we judge the risk-reward as skewed to limited further upside despite some potential pressure in refined products.
- We run an analysis of the terminal policy rate for the US and the Euro area vs. our [Hawk-Dove score \(HDS\)](#) of central bank official speeches. We find 1Yx1Y SOFR marginally rich vs. the Fed's tone, and 1Yx1Y ESTR marginally cheap vs. the ECB's tone, though modestly rich vs. TTF (European natural gas).
- Beyond the baseline fiscal/inflation overhang, we think the latest leg of the bond selloff reflects: (a) hawkish repricing of the policy path alongside higher oil prices, (b) supply-driven 'crowding out' as rising sovereign issuance and AI-related corporate funding needs compete for duration buyers, and (c) a higher expected real return on investment.
- US Midterms: gridlock remains the base case. History (over the the last 23 cycles), polling and betting markets point to Democrats winning the House and Republicans holding the Senate. Affordability dominates voter concerns amid Iran-conflict fallout and higher gas prices. With few competitive House seats and a tight outcome, major policy shifts are unlikely, but must-pass fiscal fights (budget/debt ceiling) and energy/geopolitics remain the main market risks.
- Historically, [Healthcare Equipment & Services tend to underperform](#) in the month before the election, but outperform in the month after, with Healthcare Equipment & Supplies showing an even stronger and more consistent post-election bounce over the last three cycles.
- Cross Asset Views – The DM monetary policy repricing has not dented risk assets, consistent with our mid-year outlook view that slow and gradual hiking would not derail the fundamentally supportive macro backdrop into year-end.
- In equities, despite investors' sentiment being quite cautious here, we reiterate our constructive outlook into year-end with a gradual, rotation-led advance, rather than an indiscriminate, beta-driven surge. After Jackson Hole, the 'Fed-on-hold Goldilocks' scenario looks less likely, delaying conviction in the rally broadening. Nasdaq/S&P 500 outperformance vs. equal weight/Russell 2000 keeps Tech, Quality Growth and Hyperscalers in the lead into an expected Fed hike.

Cross Asset Strategy

Fabio Bassi ^{AC}

(44-20) 7134-1989
fabio.bassi@jpmorgan.com
J.P. Morgan Securities plc

Dubravko Lakos-Bujas

(1-212) 622-3601
dubravko.lakos-bujas@jpmorgan.com
J.P. Morgan Securities LLC

Nikolaos Panigirtzoglou

(44-20) 7134-7815
nikolaos.panigirtzoglou@jpmorgan.com
J.P. Morgan Securities plc

Mika Inkinen

(44-20) 7742 6565
mika.j.inkinen@jpmorgan.com
J.P. Morgan Securities plc

Jainik Mody, CFA

(44-20) 3493-0443
jainik.mody@jpmorgan.com
J.P. Morgan Securities plc

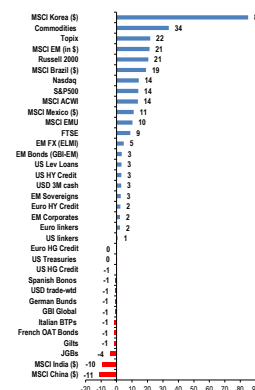
Lara Bes

(44-20) 3493-0267
lara.bes@jpmchase.com
J.P. Morgan Securities plc

Montana Manelski

(1-212) 270-4842
montana.manelski@jpmchase.com
J.P. Morgan Securities LLC

Risk Assets Up YTD, Led by Korea; Commodities Strong; Rates/Credit Flat-to-Modest; EM Divergent



Source: Bloomberg Finance L.P.

- AI capex is reshaping hyperscaler capital allocation, shifting the mix away from buyback-driven float shrinkage toward incremental equity supply (equity raises and the IPO pipeline). This dilutes the mega-cap “marginal bid” that has supported index levels and raises the hurdle for drawdown resilience unless earnings breadth improves or the equity risk premium adjusts.
- Market hike pricing is running above our projected monetary policy paths across DM. Even so, risks are skewed to more hikes than we currently forecast. We have a bearish bias on the UST belly (valuations still rich), but real money positioning screening already underweight makes us cautious on timing. We continue to recommend long 10Y Bund cross-market vs. UST.
- In FX, hawkish Fed repricing has paused USD weakness and triggered a modest rebound. After strong payrolls today, the CPI report next week will remain the short-term catalyst into the September meeting. A slow and gradual Fed hiking remains USD supportive but does not derail the broader FX carry theme and our strong preference for high yielders. We [re-enter USD longs vs. DM low yielders \(SEK and CAD\)](#). We continue to hold tactical long JPY positions, expressed via DM low yielders (short SEK/JPY) and stay short CAD/MXN as our benchmark carry expression.
- In commodities, we remain low-intensity bullish gold, using Fed repricing bumps (September meeting and terminal) as buying opportunities, while the debasement trade has lost traction after Jackson Hole. In oil, persistent uncertainty around conflict duration leaves a looming threat of higher Brent risk premiums into year-end, with potential impacts tilting our 4Q path upward.
- In US HG credit, even after heavy August supply, we expect the market can absorb September issuance given the constructive macro narrative and attractive all-in yields. The main challenge is excess rates volatility, not fundamentals.

Table 1: Core recommendations by asset class

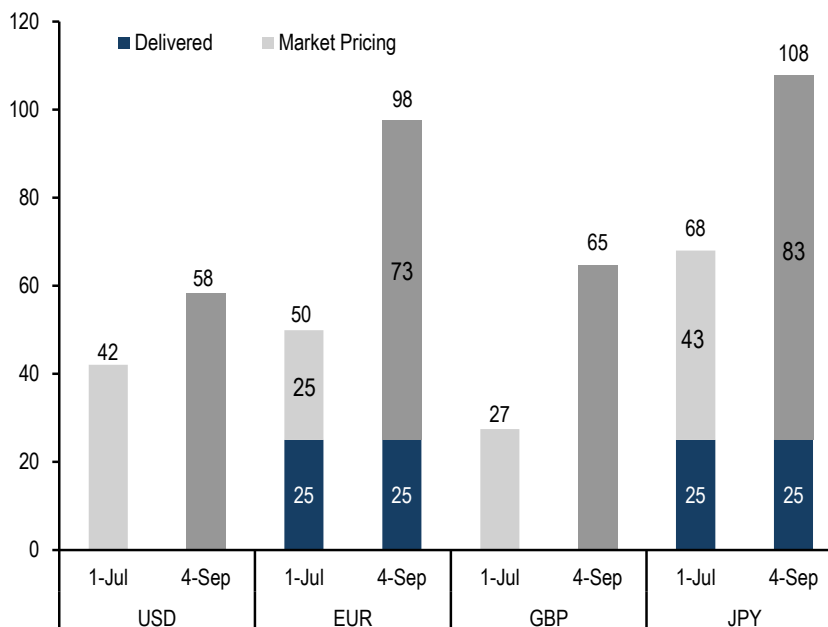
		Country: OW Eurozone, N Japan, UK. OW EM vs DM ex US.
Equities		Sector: OW Technology, Comm Services, Utilities; Neutral Industrials, Cons. Staples, Cons. Discretionary, Financials, Health Care; UW Energy, Materials, Real Estate.
Bonds		DM Duration: In the US, close 2s/10s UST steepener and 5Yx5Y inflation swap wideners. In Euro rates, buy Dec26 Bund call, enter 2s/10s conditional bull steepener via 3M receivers, close short 3Mx5Y gamma, hold 10Y Germany vs. US, stay short 10Y Italy vs. France, hold 2Yx2Y/10Yx10Y swap curve steepeners, stay long Mar27 Euribor calls vs. SOFR. In the UK, buy 3Mx10Y GBP gamma vs EUR gamma, receive Sep26 MPC OIS. In Scandinavia, receive 1Yx1Y Stibor. In Japan, hold tactical 5s/20s JGB curve steepeners. In AUS/NZ, enter NZD 2s/20s IRS steepeners, close the paid position in the NZD-AUD 2Y2Y spread, pay AUD 10Y swap spread and hold Nov26/Aug27 RBA OIS flatteners. EM Duration: MW; OW Hungary, Colombia, Mexico, Paraguay while UW Thailand, Peru and Chile.
Credit		US HG: OW: Banks (US & Yankee), Finance Cos, Healthcare; UW: Autos, Consumer, Media, Retail. Euro HG: Close OW Industrials vs. UW Consumer, OW EUR IG vs. GBP IG, OW Corporate Hybrids vs Bank T2. Euro HY: Close OW Bs vs BBs. EM: MW sovereigns and corporates.
Currencies		DM: Re-enter USD longs vs. DM low yielders (SEK and CAD), stay short CHF vs. AUD, NOK, USD, HUF basket; short CAD/MXN; short SEK/JPY. EM: OW; OW COP, CZK, HUF, MXN, PYG and TRY while UW RSD and THB.
Commodities		Long: Gold, Copper, Aluminum, Silver, and Platinum. Short: Zinc.

Source: J.P. Morgan. New recommendations in bold.

Chair Warsh's [Jackson Hole remarks](#) were more hawkish than those delivered during the July FOMC press conference: reiterating the Fed's 2% PCE target and signaling that if inflation trends fail to improve, the Committee "has work to do." This messaging, combined with firm inflation data ([US PCE](#) and [Euro area flash HICP](#)), resilient global composite PMIs consistent with a [3.1%ar gain in global GDP](#), and a re-escalation of Middle East tensions lifting energy prices, has contributed to a sharp hawkish repricing and pronounced bear-flattening across DM curves. Additionally, the [August payroll report](#) was above consensus with nonfarm payrolls rising 162K with an unemployment rate of 4.1%. This report included 55K in upward revisions to the prior months, leaving the three-month average at 71K (75K private), further contributing to the US flattening move. Using 1M OIS forward rates starting in June 2027 as a broad proxy for the terminal rate in the cycle, we see that the cumulative market pricing, since July 1st, has increased to ~60bp in the US and to ~65bp in the UK. Meanwhile, the cumulative pricing for the ECB and BoJ (including the 25bp previously delivered hikes) has risen to ~100bp and ~110bp (additional three hikes for ECB and 3-4 hikes for BoJ) (Figure 1), respectively. Notably, this is materially more than our baseline of one hike each in the US (Dec) and UK (Nov), and two additional hikes each from the ECB and BoJ (Sep and Dec) for 2026. We expect another BoJ hike in 1H27 and two additional in 2H27. While the scale of the repricing has overshot our central bank call, we do not think it is sufficient to fade as the risk distribution is skewed towards more tightening, not less. We reiterate our view that, beyond lingering fiscal and inflation concerns, the broad increase in bond yields has been driven by 1) hawkish monetary policy repricing following higher energy prices, 2) strong demand for AI capex hyperscaler issuance reducing demand for US Treasuries, and 3) positive returns from AI investments leading to productivity growth, which should result in higher real yields.

Figure 1: Hawkish central banks' rhetoric and higher energy prices have driven a sharp repricing of monetary policy expectations since early July

Central bank rate hikes delivered (bp) and market pricing (bp) using 1M OIS forward rates starting June 2027

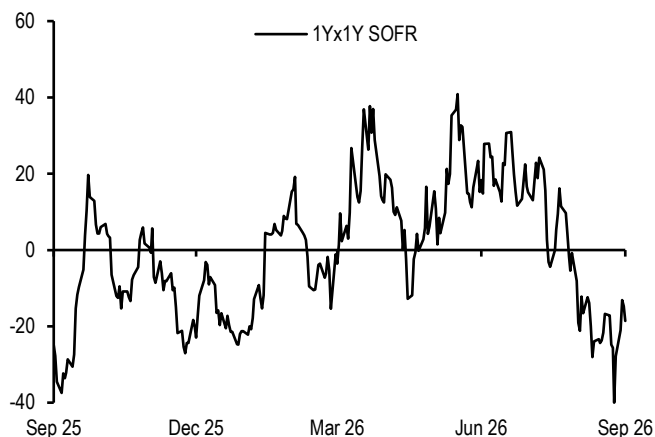


Source: J.P. Morgan

Despite the sharp repricing seen and front-end yields near their local 1-year highs, we analyse terminal policy rates, expressed via 1Yx1Y OIS rates vs. our [Hawk-Dove Scores \(HDS\)](#) over the past year, to assess the valuation of terminal rates vs. central banks' rhetoric. In the US, although the market is pricing a cumulative of ~60bp of hikes by June 2027 vs. our forecast of a single 25bp Fed hike in December, Figure 2 highlights that the residual of 1Yx1Y SOFR as a function of the Federal Reserve HDS suggests that front-end rates could have further to go relative to recent hawkish central bank rhetoric. In the Euro area, the positive residual observed from 1Yx1Y ESTR as a function of the ECB HDS score implies rates have moved too far relative to current central bank rhetoric. However, when assessing short-end yields relative to European natural gas (TTF) prices, the negative residual showcases that the front-end is lagging energy price moves (Figure 3). We would expect that sustained elevated energy prices (including both crude and natural gas) could result in sticky inflation and even further repricing of additional ECB hikes. We have now added another [25bp hike in December](#), following the second 25bp hike forecast for next week's ECB meeting. A fourth hike by the ECB cannot be ruled out but is not our base case.

Figure 2: Despite the recent repricing, the front end of the SOFR curve still looks rich vs. our Fed Hawk-Dove Score

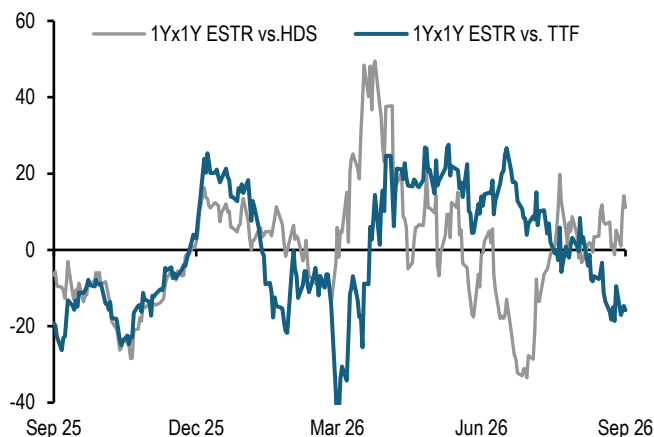
Residual of 1Yx1Y SOFR as a function of the Federal Reserve Hawk-Dove Score (level)



*For more details see [Listen up: Upgrading J.P. Morgan's central bank NLP machine](#), Joseph Lupton, Daniel Weitzenfeld, 7/2/24
 Source: J.P. Morgan

Figure 3: In the Euro area, 1Yx1Y ESTR is cheap relative to the HDS score, but seems rich vs. natural gas prices

Residuals of 1Yx1Y ESTR as a function of the ECB Hawk-Dove Score (level) and TTF prices



*For more details see [Listen up: Upgrading J.P. Morgan's central bank NLP machine](#), Joseph Lupton, Daniel Weitzenfeld, 7/2/24
 Source: J.P. Morgan

Equities have absorbed Jackson Hole as a rates event rather than a growth event, and the market has shifted toward higher-for-longer discounting without breaking the broader uptrend. The immediate response has been a repricing of monetary policy expectations and an increase in yields that reintroduces duration sensitivity into equity leadership. This has raised the hurdle for broad beta and pushed leadership back toward balance-sheet quality, pricing power, and earnings delivery, while the broadening narrative is on the back foot. Investors we speak to remain interested in a broader rally, but positioning has not meaningfully rotated away from the AI complex. In our view, durable broadening needs a cleaner Goldilocks configuration where inflation begins to cool and the Fed can remain on hold. The market has not been rewarding the broadening expressions, with small caps and equal-weight softer alongside firmer oil and USD, while the S&P 500 and Nasdaq have mostly held their ground. It is worth noting that the market is not short risk, it is short clarity.

The net effect is an equity market that still wants to grind higher, but with a higher hurdle for beta and a stronger preference for idiosyncratic earnings. The next leg is likely to be decided by the combination of rates volatility, upcoming labour and inflation prints, and whether breadth can persist when the mega-cap complex stabilizes. September is the next major checkpoint for the broadening trade as data releases and the upcoming Fed meeting may shed light on whether Fed patience is a choice or a constraint.

The scale and pace of the AI capex cycle has come in above what most investors had penciled in, and it is now reshaping capital allocation priorities in the hyperscaler complex. For years, US buybacks have been treated as a reliable support because they shrank float, supported per share compounding, and provided a steady marginal bid. That dynamic is now evolving at the margin in tech. [In 1Q26](#), only Microsoft bought back stock among the four biggest AI spenders, and even that was just \$3.4bn, the lowest combined outcome for the group in nearly a decade. Alphabet did not repurchase shares in 1Q for the first time in nearly 10 years after buying back more than \$15bn in the same period a year ago. More importantly, the capex cycle is now showing up in cash conversion. AI capex is not just pulling forward spend, it is changing the earnings to cash conversion of the [hyperscaler cohort](#). LTM net income is roughly ~\$600bn versus ~\$170bn of free cash flow, a \$430bn gap that was close to zero at the end of 2023. The market implication is not that buybacks disappear across the index, but that the incremental bid has been concentrated in mega caps, so a moderation in that cohort can have an outsized influence on index support and drawdown behavior.

From a market mechanics perspective, the more relevant question is whether the buyback bid continues to offset incremental supply in the largest index constituents. With repurchases moderating in parts of hyperscaler tech and equity financing reappearing as a tool, the path of least resistance is a more mixed supply backdrop. [Alphabet](#) has already executed an \$84.75bn equity offering to fund AI ambitions, and [Meta](#) is reportedly weighing a sizable equity raise to finance AI infrastructure. Layer on the AI IPO pipeline and the supply story compounds. [OpenAI](#) and [Anthropic](#) have both confidentially filed IPO paperwork, keeping timing flexible while very large raise ambitions sit in the foreground. That does not mean issuance will overwhelm demand, but it does raise the hurdle for multiple support and increases the premium on earnings breadth and cash conversion, especially if liquidity is not expanding alongside supply.

As we approach the US midterm elections in November, we look back at previous patterns to gain a sense of the changes we are likely to see. Historically, the [president's party typically loses ~27 House seats and ~3 Senate seats](#), when looking at an average over the last 23 cycles, implying Democrats are likely to win the House while Republicans likely retain control of the Senate; this is consistent with Kalshi betting markets (85% probability of a Dem-controlled House, 53% probability of the GOP retaining control of the Senate). Voters' top issue is the economy and affordability ([29% overall; 15% cost of living](#)). Politics are complicated by the unpopular Iran conflict and higher gasoline prices (US national average gasoline prices are +39% vs. pre-conflict). Additionally, US-Canada trade frictions may matter in key states where Canada is the top trading partner (e.g., IA, ME, NC, OH). [The Cook Political Report](#) sees Dems likely 196 seats, GOP likely 202 and 9 lean Dem and 2 lean GOP, with 21 toss-ups (16 held by Republicans), pointing to a narrow Democratic majority rather than a "blue wave." Competitive House seats have shrunk sharply ([roughly 20-30 now vs. ~90 two decades ago](#)) as redistricting has favored Republicans; estimates for a Democratic majority

cluster around 220–230 seats.

Per our colleagues in equity strategy: a political [gridlock has historically coincided with slightly higher S&P 500 returns](#) than a unified government, and even a Democratic Congress would be constrained by a Republican president, veto power, and the Senate filibuster. We see major policy shifts as unlikely, and must-pass bills (government budget, debt ceiling, defense authorization, tax/healthcare extensions, etc.) becoming the main battleground. At the [industry level](#), Healthcare Equipment & Services has historically tended to lag in the month leading up to the midterms (about -2.1% relative performance on average) and then modestly outperform in the month after (+0.7%). This pre-/post-election pattern is even stronger in the Healthcare Equipment & Supplies sub-industry level, which averages -1.6% in the month before versus +2.6% in the month after, and it has shown consistent outperformance across the last three midterm cycles.

JPM Forecasts

Rates					
	Current	Sep-26	Dec-26	Mar-27	Jun-27
US (SOFR)	3.66	3.65	3.90	3.90	3.90
10-year yields	4.79	4.80	4.85	4.85	4.85
Euro area (depo)	2.25	2.50	2.75	2.75	2.75
10-year yields	3.35	2.95	2.90	2.85	2.80
Italy-Germany 10Y (bp)	81	85	85	80	80
Spain-Germany 10Y (bp)	43	45	45	45	45
United Kingdom (bank rate)	3.75	3.75	4.00	4.00	3.75
10-year yields	5.16	4.80	4.80	4.75	4.70
Japan (call rate)	1.00	1.25	1.50	1.50	1.75
10-year yields	2.90	2.90	3.05	3.05	3.15
EM Local (GBI-EM yield)	6.34		6.03		

Currencies					
	Current	Sep-26	Dec-26	Mar-27	Jun-27
JPM USD Index	106.3	107.6	108.3	108.7	109.3
EUR/USD	1.16	1.14	1.13	1.12	1.10
USD/JPY	156	160	164	164	164
GBP/USD	1.35	1.31	1.28	1.29	1.28
AUD/USD	0.72	0.70	0.69	0.69	0.69
USD/CNY	6.71	6.70	6.70	6.75	6.80
USD/KRW	1352	1470	1490	1490	1490
USD/MXN	16.91	17.20	17.25	17.30	17.30
USD/BRL	5.12	5.15	5.20	5.15	5.15
USD/TRY	48.44	49.00	51.20	53.00	54.90
USD/ZAR	16.00	16.25	16.00	15.90	15.75

Commodities					
	Current	Sep-26	Dec-26	Mar-27	Jun-27
Brent (\$/bbl, qtr avg)	95	86	80	71	67
WTI (\$/bbl, qtr avg)	90	81	74	67	63
Gold (\$/oz, qtr avg)	4394	4300	4500	4600	4700
Copper (\$/metric tonne, qtr avg)	14406	14500	14800	14000	13800
Aluminum (\$/metric tonne, qtr avg)	3320	3800	3700	3450	3200
Iron ore 62% Fe (\$/metric tonne, qtr avg)	100	100	100	100	100
Wheat (\$/bu, qtr avg)	7.4	5.6	5.8	5.7	5.7
Soybeans (\$/bu, qtr avg)	13.08	10.50	11.00	11.00	11.30

Credit			
		Current	Dec-26
US High Grade (bp over UST)	JPM JULI	94	95
Euro High Grade (bp over Bunds)	iBoxx HG	93	90
US High Yield (bp vs. UST)	JPM HY	302	350
Euro High Yield (bp over Bunds)	iBoxx HY	310	300
EM Sovereigns (bp vs. UST)	JPM EMBIGD	236	250
EM Corporates (bp vs. UST)	JPM CEMBI	164	180

Equities			
		Current	Dec-26
US	S&P 500	7,748	8,000
Euro Area	MSCI Eurozone	388	420
UK	FTSE 100	10,832	11,000
Japan	TOPIX	4,103	4,600
EM	MSCI EM (\$)	1,703	2,000
China	MSCI China	74	100
Korea	KOSPI	6,687	9,000
Taiwan	TWSE	46,551	47,000
India	MSCI India	2,920	3,200
Brazil	Ibovespa	185,188	185,000
Mexico	MEXBOL	65,436	69,000
Saudi Arabia	MSCI Saudi Arabia	1,267	1,235

Equity Sectors - YTD Returns & Recommendations				
	US	Europe	Japan	EM
Energy	45.8% UW	41.2% UW	26.1% N	14.4% OW
Materials	16.3% UW	22.3% OW	16.4% N	11.9% OW
Industrials	13.2% N	10.1% OW	19.9% OW	13.8% N
Discretionary	-0.6% N	-11.4% OW	7.6% N	-14.7% N
Staples	10.3% N	2.6% UW	7.2% UW	-2.8% UW
Healthcare	11.9% N	3.3% N	6.3% UW	10.7% UW
Financials	7.5% N	20.8% N	46.0% OW	13.1% OW
Technology	24.0% OW	31.7% N	42.1% OW	74.0% OW
Comm Services	1.7% OW	5.5% N	5.5% OW	-18.6% N
Utilities	1.9% OW	11.8% N	16.0% UW	5.9% N
Real Estate	11.1% UW	2.4% N	-7.8% N	-1.2% N
Overall	13.9% OW	12.7% OW	21.7% N	23.2% OW

Global Economic Outlook Summary

	Real GDP			Real GDP						Consumer prices			
	% over a year ago			% over previous period, saar						% over a year ago			
	2025	2026	2027	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	4Q25	2Q26	4Q26	2Q27
United States	2.1	2.1	2.1	2.1	1.5	<u>2.8</u>	1.8	2.3	2.3	2.7	3.8	3.8 ↑	2.1 ↑
Canada	1.9	0.9	1.7	0.3	3.3	<u>1.4</u>	1.4	1.7	1.7	2.2	2.9	2.8	1.6
Latin America	2.1	1.9	1.8	1.9	<u>2.7</u>	<u>1.4</u>	1.9	2.2	1.4	3.9	4.3	4.4	3.8
Argentina	4.4	2.7	3.0	3.0	<u>-1.5</u>	3.8	4.5	4.0	2.0	31.8	32.8	29.4	20.5
Brazil	2.3	2.0	1.3	4.4 ↓	1.9 ↓	<u>1.2</u>	1.0	2.4	0.4	4.5	4.6	4.9	3.8
Chile	2.5	0.8	3.3	-1.0	-0.1	<u>4.0</u>	3.5	3.0	3.5	3.4	4.0	3.8	3.4
Colombia	2.6	2.5	1.7	2.6	5.2	<u>0.0</u>	1.0	1.5	2.0	5.3	5.8	6.2	5.9
Ecuador	3.7	3.0	2.0	4.5	<u>0.3</u>	1.0	2.0	3.0	2.3	1.4	1.9	2.2	1.5
Mexico	0.5	1.5	1.7	-1.4	5.8	<u>0.4</u>	2.0	1.2	1.5	3.7	3.9	3.7	3.5
Peru	3.4	3.0	2.9	1.8	-0.4	<u>4.0</u>	2.5	3.5	2.7	1.4	4.0	4.1	3.2
Uruguay	1.8	1.1	1.4	3.2	<u>0.4</u>	0.0	1.0	1.3	0.0	4.0	3.1	4.3	5.1
Asia/Pacific	4.5	4.3	4.0	5.7	<u>2.9</u>	3.5	4.4 ↓	4.1	4.1	1.2	2.0	2.0	1.6
Japan	1.2	0.9	1.1	1.9	1.1	<u>1.0</u>	1.3	1.0	1.2	2.7	1.5	2.8	2.3
Australia	2.0	2.0	1.8	1.1	1.7 ↑	<u>1.3 ↓</u>	1.7 ↓	1.8 ↑	2.0 ↑	3.6	3.9	3.9	3.6
New Zealand	0.2	2.1	2.3	3.2	<u>1.2</u>	3.4	1.2	4.0	1.0	3.1	4.1	3.9	2.4
EM Asia	5.2	5.0	4.5	6.5 ↓	<u>3.2</u>	4.0	5.1	4.7	4.7	0.9	1.9	1.7	1.4
China	5.0	4.5	4.3	6.3	2.4	<u>3.6</u>	5.3	4.8	4.5	0.6	1.1	0.4	0.2
India	7.7	6.8	6.5	8.0	<u>6.5</u>	6.0	6.2	5.5	6.7	0.8	3.9	5.7	5.5
Ex China/India	4.0	5.2	4.0	6.3 ↓	3.7 ↑	<u>4.1</u>	3.7	4.1	4.1	1.8	2.9	3.2	2.3 ↑
Hong Kong	3.6	4.7	2.9	12.1	-2.5	<u>4.3</u>	3.6	3.0	2.8	1.3	1.9	1.7	1.6
Indonesia	5.1	5.0	4.9	5.6	5.2	<u>3.1</u>	2.7	5.8	5.7	2.8	2.9	3.5 ↑	2.9 ↑
Korea	1.1	3.8	3.3	7.5	2.5	<u>4.0</u>	3.0	3.5	3.5	2.4	3.0	3.5	2.6
Malaysia	5.2	5.5	4.5	-0.1 ↓	10.5 ↑	<u>5.0</u>	4.5	4.0	4.0	1.4	2.0	2.1	1.8
Philippines	4.4	3.5	5.3	3.8	2.3	<u>6.5</u>	7.0	4.1	5.5	1.7	6.8	6.5	3.4
Singapore	5.0	5.4	4.0	5.0	5.7	<u>3.5</u>	4.5	4.0	4.0	1.2	1.8	2.4	1.9
Taiwan	8.8	11.4	4.6	10.2	5.7	<u>4.5</u>	5.5	4.0	4.0	1.3	2.2	2.4	1.8
Thailand	2.4	2.5	2.5	2.3	-0.7	<u>4.1</u>	2.4	2.8	2.4	-0.5	2.7	3.1	0.6
Western Europe	1.3	1.0	1.4	0.4	1.9	<u>1.2</u>	1.4	1.5	1.5	2.3	2.9	3.3 ↑	2.3
Euro area	1.3	0.9	1.4	0.0	1.8	<u>1.3</u>	1.5	1.5	1.5	2.1	3.0	3.4	2.2 ↓
Germany	0.3	1.1	1.6	1.8	1.3	<u>1.3</u>	1.8	1.8	1.8	2.3	2.6	2.7 ↑	2.1
France	0.9	0.5	1.0	-0.7	0.1	<u>0.8</u>	1.3	1.3	1.0	0.8	2.4	3.0 ↓	1.9 ↓
Italy	0.7	0.9	0.6	1.3	0.8	<u>0.8</u>	0.8	0.8	0.5	1.2	3.0	4.0 ↓	1.8 ↓
Spain	2.8	2.7	2.2	2.5	2.9	<u>3.0</u>	2.5	2.0	1.8	3.1	3.6	4.0 ↑	3.0 ↓
Norway	1.7	1.0	1.6	0.4	1.3	<u>1.8</u>	1.8	1.8	1.5	3.1	3.1	2.8	2.0
Sweden	1.6	2.8	2.2	-0.3	6.4	<u>2.0</u>	2.3	2.0	1.8	0.5	0.5	1.3	1.9
United Kingdom	1.3	1.2	1.2	2.5	1.7	<u>0.8</u>	1.0	1.6	1.2	3.4	2.8	3.0	2.7
EMEA EM	2.2	2.0	2.7	-0.2 ↑	4.1 ↑	2.3 ↓	2.9 ↑	2.7	2.4	10.6	10.4	10.1	8.6
Czech Republic	2.5	2.1	2.2	0.7	1.4	<u>2.3</u>	2.5	2.1	2.1	2.2	2.0	2.2	2.2
Hungary	0.4	1.9	2.8	3.4 ↑	2.0 ↑	<u>1.8</u>	3.0	3.0	3.3	3.8	1.9	1.7	2.5
Israel	3.5	4.5	4.0	-2.2	15.4	<u>2.0</u>	3.5	3.5	3.5	2.5	1.8	1.9 ↑	1.6
Poland	3.6	3.4	2.9	2.4	4.1 ↑	<u>3.3</u>	3.0	2.8	2.5	2.6	2.9	3.6	3.7
Romania	0.7	0.0	3.0	-0.4	0.0	<u>3.6</u>	3.2	2.8	2.4	9.7	10.7	6.0	4.9
Russia	1.0	0.8	1.5	-2.5	3.2	<u>1.0</u>	1.5	1.5	1.5	6.7	5.6	7.0	6.3
South Africa	1.1	1.1	1.4	2.2	<u>-0.2</u>	0.5	1.0	1.8	1.8	3.6	4.5	4.5 ↓	3.2 ↓
Türkiye	3.6	3.0	4.6	1.2 ↑	4.6 ↑	4.3 ↓	5.5 ↑	4.5	3.5	31.6	32.4	29.6	24.0
Global	2.8	2.6	2.6	2.8	<u>2.3</u>	2.6	2.7	2.8	2.7	2.7	3.4	3.5 ↑	2.5 ↑
Developed markets	1.7	1.6	1.8	1.4	<u>1.7</u>	2.0	1.6	1.9	1.9 ↑	2.6	3.3	3.5 ↑	2.2
Emerging markets	4.3	4.1	3.8	4.8	<u>3.3</u>	3.4	4.3	4.0	3.9	2.8	3.5	3.4	2.8
Emerging ex China	3.6	3.7	3.5	3.6	<u>4.0</u>	3.2 ↓	3.5 ↑	3.4	3.4	4.7	5.6	5.9	5.0
Global — PPP weighted	3.3	3.1	3.0	3.3	<u>2.7</u>	2.8	3.1	3.1	3.1 ↑	2.9	3.7	3.8	2.9

Source: Government agencies and J.P. Morgan Global Economics. Details on request. Note: For some emerging economies seasonally adjusted GDP data are estimated by J.P. Morgan. Bold denotes changes from last edition of Global Data Watch, with arrows showing the direction of changes. Underline indicates beginning of J.P. Morgan forecasts. Unless noted, concurrent nominal GDP weights calculated with current FX rates are used in computing our global and regional aggregates. Regional CPI aggregates exclude Argentina and Ecuador. Source: J.P. Morgan. Any long-form nomenclature for references to China; Hong Kong; and Taiwan within this research material is Mainland China; Hong Kong SAR (China) and Taiwan (China).

Analyst Certification: The Research Analyst(s) denoted by an “AC” on the cover of this report certifies (or, where multiple Research Analysts are primarily responsible for this report, the Research Analyst denoted by an “AC” on the cover or within the document individually certifies, with respect to each security or issuer that the Research Analyst covers in this research) that: (1) all of the views expressed in this report accurately reflect the Research Analyst’s personal views about any and all of the subject securities or issuers; and (2) no part of any of the Research Analyst’s compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed by the Research Analyst(s) in this report. For all Korea-based Research Analysts listed on the front cover, if applicable, they also certify, as per KOFIA requirements, that the Research Analyst’s analysis was made in good faith and that the views reflect the Research Analyst’s own opinion, without undue influence or intervention.

All authors named within this report are Research Analysts who produce independent research unless otherwise specified. In Europe, Sector Specialists (Sales and Trading) may be shown on this report as contacts but are not authors of the report or part of the Research Department.

Important Disclosures

An analyst listed on the front cover has personal holdings in digital or crypto assets.

Company-Specific Disclosures: J.P. Morgan does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. Important disclosures, including price charts and credit opinion history tables (if applicable), are available for compendium reports and all J.P. Morgan–covered companies, and certain non-covered companies, by visiting <https://www.jpmm.com/research/disclosures>, calling 1-800-477-0406, or e-mailing research.disclosure.inquiries@jpmorgan.com with your request.

Explanation of Equity Research Ratings, Designations and Analyst(s) Coverage Universe:

J.P. Morgan uses the following rating system: Overweight (over the duration of the price target indicated in this report, we expect this stock will outperform the average total return of the stocks in the Research Analyst’s, or the Research Analyst’s team’s, coverage universe); Neutral (over the duration of the price target indicated in this report, we expect this stock will perform in line with the average total return of the stocks in the Research Analyst’s, or the Research Analyst’s team’s, coverage universe); and Underweight (over the duration of the price target indicated in this report, we expect this stock will underperform the average total return of the stocks in the Research Analyst’s, or the Research Analyst’s team’s, coverage universe. NR is Not Rated. In this case, J.P. Morgan has removed the rating and, if applicable, the price target, for this stock because of either a lack of a sufficient fundamental basis or for legal, regulatory or policy reasons. The previous rating and, if applicable, the price target, no longer should be relied upon. An NR designation is not a recommendation or a rating. Some stocks under coverage have a rating but no price target; in these cases, we expect the stock will outperform/perform in line/underperform the average total return of the stocks in the Research Analyst’s, or the Research Analyst’s team’s, coverage universe of the relevant duration of the region. In our Asia (ex-Australia and ex-India) and U.K. small- and mid-cap Equity Research, each stock’s expected total return is compared to the expected total return of a benchmark country market index, not to those Research Analysts’ coverage universe. If it does not appear in the Important Disclosures section of this report, the certifying Research Analyst’s coverage universe can be found on J.P. Morgan’s Research website, <https://www.jpmorganmarkets.com>.

J.P. Morgan Equity Research Ratings Distribution, as of July 04, 2026

	Overweight (buy)	Neutral (hold)	Underweight (sell)
J.P. Morgan Global Equity Research Coverage*	53%	36%	12%
IB clients**	83%	80%	73%
JPMS Equity Research Coverage*	51%	37%	12%
IB clients**	95%	92%	87%

*Please note that the percentages may not add to 100% because of rounding.

**Percentage of subject companies within each of the "buy," "hold" and "sell" categories for which J.P. Morgan has provided investment banking services within the previous 12 months.

For purposes of FINRA ratings distribution rules only, our Overweight rating falls into a buy rating category; our Neutral rating falls into a hold rating category; and our Underweight rating falls into a sell rating category. Please note that stocks with an NR designation are not included in the table above. This information is current as of the end of the most recent calendar quarter.

Equity Valuation and Risks: For valuation methodology and risks associated with covered companies or price targets for covered companies, please see the most recent company-specific research report at <http://www.jpmorganmarkets.com>, contact the primary analyst or your J.P. Morgan representative, or email research.disclosure.inquiries@jpmorgan.com. For material information about the proprietary models used, please see the Summary of Financials in company-specific research reports and the Company Tearsheets, which are available to download on the company pages of our client website, <http://www.jpmorganmarkets.com>. This report also sets out within it the material underlying assumptions used.

History of Investment Recommendations:

A history of J.P. Morgan investment recommendations disseminated during the preceding 12 months can be accessed on the Research &

Commentary page of <http://www.jpmorganmarkets.com> where you can also search by analyst name, sector or financial instrument.

Analysts' Compensation: The research analysts responsible for the preparation of this report receive compensation based upon various factors, including the quality and accuracy of research, client feedback, competitive factors, and overall firm revenues.

Registration of non-US Analysts: Unless otherwise noted, the non-US analysts listed on the front of this report are employees of non-US affiliates of J.P. Morgan Securities LLC, may not be registered as research analysts under FINRA rules, may not be associated persons of J.P. Morgan Securities LLC, and may not be subject to FINRA Rule 2241 or 2242 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Other Disclosures

J.P. Morgan is a marketing name for investment banking businesses of JPMorgan Chase & Co. and its subsidiaries and affiliates worldwide.

UK MIFID FICC research unbundling exemption: UK clients should refer to [UK MIFID Research Unbundling exemption](#) for details of J.P. Morgan's implementation of the FICC research exemption and guidance on relevant FICC research categorisation.

All research material made available to clients are simultaneously available on our client website, J.P. Morgan Markets, unless specifically permitted by relevant laws. Not all research content is redistributed, e-mailed or made available to third-party aggregators. For all research material available on a particular stock, please contact your sales representative.

Any long form nomenclature for references to China; Hong Kong; Taiwan; and Macau within this research material are Mainland China; Hong Kong SAR (China); Taiwan (China); and Macau SAR (China).

J.P. Morgan Research may, from time to time, write on issuers or securities targeted by economic or financial sanctions imposed or administered by the governmental authorities of the U.S., EU, UK or other relevant jurisdictions (Sanctioned Securities). Nothing in this report is intended to be read or construed as encouraging, facilitating, promoting or otherwise approving investment or dealing in such Sanctioned Securities. Clients should be aware of their own legal and compliance obligations when making investment decisions.

Digital assets, which may also be referred to as virtual or crypto assets or crypto currencies (e.g. bitcoin), discussed in this research report are subject to a rapidly changing regulatory landscape. The application of relevant laws in respect of such assets may be unsettled, and the legality of any digital asset investment may be unclear. Prior to making any investment decision regarding any digital asset, investors should seek their own legal advice and be aware of any legal considerations regarding the purchase, holding or selling of such an investment. For relevant regulatory advisories on digital assets, including bitcoin and ethereum, please see <https://www.jpmorgan.com/disclosures/cryptoasset-disclosure>.

The author(s) of this research report may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so.

Exchange-Traded Funds (ETFs): J.P. Morgan Securities LLC ("JPMS") acts as authorized participant for substantially all U.S.-listed ETFs. To the extent that any ETFs are mentioned in this report, JPMS may earn commissions and transaction-based compensation in connection with the distribution of those ETF shares and may earn fees for performing other trade-related services, such as securities lending to short sellers of the ETF shares. JPMS may also perform services for the ETFs themselves, including acting as a broker or dealer to the ETFs. In addition, affiliates of JPMS may perform services for the ETFs, including trust, custodial, administration, lending, index calculation and/or maintenance and other services.

Options and Futures related research: If the information contained herein regards options- or futures-related research, such information is available only to persons who have received the proper options or futures risk disclosure documents. Please contact your J.P. Morgan Representative or visit <https://www.theocc.com/components/docs/riskstoc.pdf> for a copy of the Option Clearing Corporation's Characteristics and Risks of Standardized Options or https://www.finra.org/sites/default/files/2020-08/Security_Futures_Risk_Disclosure_Statement_2020.pdf for a copy of the Security Futures Risk Disclosure Statement.

Changes to Interbank Offered Rates (IBORs) and other benchmark rates: Certain interest rate benchmarks are, or may in the future become, subject to ongoing international, national and other regulatory guidance, reform and proposals for reform. For more information, please consult: https://www.jpmorgan.com/global/disclosures/interbank_offered_rates

Private Bank Clients: Where you are receiving research as a client of the private banking businesses offered by JPMorgan Chase & Co. and its subsidiaries ("J.P. Morgan Private Bank"), research is provided to you by J.P. Morgan Private Bank and not by any other division of J.P. Morgan, including, but not limited to, the J.P. Morgan Corporate and Investment Bank and its Global Research division.

Legal entity responsible for the production and distribution of research: The legal entity identified below the name of the Reg AC Research Analyst who authored this material is the legal entity responsible for the production of this research. Where multiple Reg AC Research Analysts authored this material with different legal entities identified below their names, these legal entities are jointly responsible for the production of this research. Where more than one legal entity is listed under an analyst's name, the first legal entity is responsible for the production unless stated otherwise. Research Analysts from various J.P. Morgan affiliates may have contributed to the production of this material but may not be

licensed to carry out regulated activities in your jurisdiction (and do not hold themselves out as being able to do so). Unless otherwise stated below in the legal entity disclosures, this material has been distributed by the legal entity responsible for production, or where more than one legal entity is listed under the analyst's name, the first legal entity will be responsible for distribution. If you have any queries, please contact the relevant Research Analyst in your jurisdiction or the entity in your jurisdiction that has distributed this research material.

Legal Entities Disclosures and Country-/Region-Specific Disclosures:

Argentina: JPMorgan Chase Bank N.A Sucursal Buenos Aires is regulated by Banco Central de la República Argentina ("BCRA"- Central Bank of Argentina) and Comisión Nacional de Valores ("CNV"- Argentinian Securities Commission - ALYC y AN Integral N°51).

Australia: J.P. Morgan Securities Australia Limited ("JPMSAL") (ABN 61 003 245 234/AFS Licence No: 238066) is regulated by the Australian Securities and Investments Commission and is a Market Participant of ASX Limited, a Clearing and Settlement Participant of ASX Clear Pty Limited and a Clearing Participant of ASX Clear (Futures) Pty Limited. This material is issued and distributed in Australia by or on behalf of JPMSAL only to "wholesale clients" (as defined in section 761G of the Corporations Act 2001). A list of all financial products covered can be found by visiting <https://www.jpmm.com/research/disclosures>. J.P. Morgan seeks to cover companies of relevance to the domestic and international investor base across all Global Industry Classification Standard (GICS) sectors, as well as across a range of market capitalisation sizes. If applicable, in the course of conducting public side due diligence on the subject company(ies), the Research Analyst team may at times perform such diligence through corporate engagements such as site visits, discussions with company representatives, management presentations, etc. Research issued by JPMSAL has been prepared in accordance with J.P. Morgan Australia's Research Independence Policy which can be found at the following link: [J.P. Morgan Australia - Research Independence Policy](#).

Brazil: Banco J.P. Morgan S.A. is regulated by the Comissão de Valores Mobiliários (CVM) and by the Central Bank of Brazil. Ombudsman J.P. Morgan: 0800-7700847 / 0800-7700810 (For Hearing Impaired) / ouvidoria.jp.morgan@jpmchase.com.

Canada: J.P. Morgan Securities Canada Inc. is a registered investment dealer, regulated by the Canadian Investment Regulatory Organization and the Ontario Securities Commission and is the participating member on Canadian exchanges. This material is distributed in Canada by or on behalf of J.P.Morgan Securities Canada Inc.

Chile: Inversiones J.P. Morgan Limitada is an unregulated entity incorporated in Chile.

China: J.P. Morgan Securities (China) Company Limited has been approved by CSRC to conduct the securities investment consultancy business.

Colombia: Banco J.P. Morgan Colombia S.A. is supervised by the Financiera de Colombia (SFC). Any reference in this material to products or services offered abroad by entities other than the Bank in Colombia is included exclusively for descriptive purposes. Such references do not constitute, and should not be construed as, promotional activity or the provision of financial products or services within Colombian territory, as defined under applicable Colombian regulation.

Dubai International Financial Centre (DIFC): JPMorgan Chase Bank, N.A., Dubai Branch is regulated by the Dubai Financial Services Authority (DFSA) and its registered address is Dubai International Financial Centre - The Gate, West Wing, Level 3 and 9 PO Box 506551, Dubai, UAE. This material has been distributed by JP Morgan Chase Bank, N.A., Dubai Branch to persons regarded as professional clients or market counterparties as defined under the DFSA rules.

European Economic Area (EEA): Unless specified to the contrary, research is distributed in the EEA by J.P. Morgan SE ("JPM SE"), which is authorised as a credit institution by the Federal Financial Supervisory Authority (Bundesanstalt für tungsaufsicht, BaFin) and jointly supervised by the BaFin, the German Central Bank (Deutsche Bundesbank) and the European Central Bank (ECB). JPM SE is a company headquartered in Frankfurt with registered address at TaunusTurm, Taunustor 1, Frankfurt am Main, 60310, Germany. The material has been distributed in the EEA to persons regarded as professional investors (or equivalent) pursuant to Art. 4 para. 1 no. 10 and Annex II of MiFID II and its respective implementation in their home jurisdictions ("EEA professional investors"). This material must not be acted on or relied on by persons who are not EEA professional investors. Any investment or investment activity to which this material relates is only available to EEA relevant persons and will be engaged in only with EEA relevant persons.

Hong Kong: J.P. Morgan Securities (Asia Pacific) Limited (CE number AAJ321) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission in Hong Kong, and J.P. Morgan Broking (Hong Kong) Limited (CE number AAB027) is regulated by the Securities and Futures Commission in Hong Kong. JP Morgan Chase Bank, N.A., Hong Kong Branch (CE Number AAL996) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission, is organized under the laws of the United States with limited liability. Where the distribution of this material is a regulated activity in Hong Kong, the material is distributed in Hong Kong by or through J.P. Morgan Securities (Asia Pacific) Limited and/or J.P. Morgan Broking (Hong Kong) Limited.

India: J.P. Morgan India Private Limited (Corporate Identity Number - 68724), having its registered office at J.P. Morgan Tower, Off. C.S.T. Road, Kalina, Santacruz - East, Mumbai - 400098, is registered with the Securities and Exchange Board of India (SEBI) as a 'Research Analyst' having registration number INH000001873. J.P. Morgan India Private Limited is also registered with SEBI as a member of the National Stock Exchange of India Limited and the Bombay Stock Exchange Limited (SEBI Registration Number - INZ000239730) and as a Merchant Banker (SEBI Registration Number - MB/INM000002970). Telephone: 91-22-6157 3000, Facsimile: 91-22-6157 3990 and Website: <http://www.jpmpi.com>. JPMorgan Chase Bank, N.A. - Mumbai Branch is licensed by the Reserve Bank of India (RBI) (Licence No. 53/ Licence No. BY.4/94; SEBI - IN/CUS/014/ CDSL : IN-DP-CDSL-444-2008/ IN-DP-NSDL-285-2008/ INBI00000984/ INE231311239) as a Scheduled Commercial Bank in India, which is its primary license allowing it to carry on Banking business in India and other activities, which a

Bank branch in India are permitted to undertake. For non-local research material, this material is not distributed in India by J.P. Morgan India Private Limited. Compliance Officer: Ashutosh Sharma; ashutosh.j.sharma@jpmchase.com; +912261575002. Grievance Officer: Ramprasad K, jpmipl.research.feedback@jpmorgan.com; +912261573000. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Please visit [Terms and Conditions and Most Important Terms and Conditions \(MITC\)](#). The annual Compliance audit report is available at <http://www.jpmipl.com/#research>.

Indonesia: PT J.P. Morgan Sekuritas Indonesia is a member of the Indonesia Stock Exchange and is registered and supervised by the Otoritas Jasa Keuangan (OJK).

Korea: J.P. Morgan Securities (Far East) Limited, Seoul Branch, is a member of the Korea Exchange (KRX). JPMorgan Chase Bank, N.A., Seoul Branch, is licensed as a branch office of foreign bank (JPMorgan Chase Bank, N.A.) in Korea. Both entities are regulated by the Financial Services Commission (FSC) and the Financial Supervisory Service (FSS). For non-macro research material, the material is distributed in Korea by or through J.P. Morgan Securities (Far East) Limited, Seoul Branch.

Japan: JPMorgan Securities Japan Co., Ltd. and JPMorgan Chase Bank, N.A., Tokyo Branch are regulated by the Financial Services Agency in Japan.

Malaysia: This material is issued and distributed in Malaysia by JPMorgan Securities (Malaysia) Sdn Bhd (18146-X), which is a Participating Organization of Bursa Malaysia Berhad and holds a Capital Markets Services License issued by the Securities Commission in Malaysia.

Mexico: J.P. Morgan Casa de Bolsa, S.A. de C.V., J.P. Morgan Grupo Financiero is member of the Mexican Stock Exchange ("Bolsa Mexicana de Valores") and the Institutional Stock Exchange ("Bolsa Institucional de Valores"), and it is authorized to act as a broker dealer by the National Banking and Securities Exchange Commission ("Comisión Nacional Bancaria y de Valores").

New Zealand: This material is issued and distributed by JPMSAL in New Zealand only to "wholesale clients" (as defined in the Financial Markets Conduct Act 2013). JPMSAL is registered as a Financial Service Provider under the Financial Service providers (Registration and Dispute Resolution) Act of 2008.

Philippines: J.P. Morgan Securities Philippines Inc. is a Trading Participant of the Philippine Stock Exchange and a member of the Securities Clearing Corporation of the Philippines and the Securities Investor Protection Fund. It is regulated by the Securities and Exchange Commission.

Singapore: This material is issued and distributed in Singapore by or through J.P. Morgan Securities Singapore Private Limited (JPMSS) [MDDI (P) 070/08/2026 and Co. Reg. No.: 199405335R], which is a member of the Singapore Exchange Securities Trading Limited, and/or JPMorgan Chase Bank, N.A., Singapore branch (JPMCB Singapore), both of which are regulated by the Monetary Authority of Singapore. This material is issued and distributed in Singapore only to accredited investors, expert investors and institutional investors, as defined in Section 4A of the Securities and Futures Act, Cap. 289 (SFA). This material is not intended to be issued or distributed to any retail investors or any other investors that do not fall into the classes of "accredited investors," "expert investors" or "institutional investors," as defined under Section 4A of the SFA. Recipients of this material in Singapore are to contact JPMSS or JPMCB Singapore in respect of any matters arising from, or in connection with, the material.

South Africa: J.P. Morgan Equities South Africa Proprietary Limited and JPMorgan Chase Bank, N.A., Johannesburg Branch are members of the Johannesburg Securities Exchange and are regulated by the Financial Services Conduct Authority (FSCA).

Taiwan: J.P. Morgan Securities (Taiwan) Limited is a participant of the Taiwan Stock Exchange (company-type) and regulated by the Taiwan Securities and Futures Bureau. Material relating to equity securities is issued and distributed in Taiwan by J.P. Morgan Securities (Taiwan) Limited, subject to the license scope and the applicable laws and the regulations in Taiwan. **To the extent that J.P. Morgan Securities (Taiwan) Limited produces research materials on securities not listed on the Taiwan Stock Exchange or Taipei Exchange ("Non-Taiwan Listed Securities"), these materials shall not constitute securities recommendations for the purpose of applicable Taiwan regulations, and, for the avoidance of doubt, J.P. Morgan Securities (Taiwan) Limited does not act as broker for Non-Taiwan Listed Securities.** According to Paragraph 2, Article 7-1 of Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers (as amended or supplemented) and/or other applicable laws or regulations, please note that the recipient of this material is not permitted to engage in any activities in connection with the material that may give rise to conflicts of interests, unless otherwise disclosed in the "Important Disclosures" in this material.

Thailand: This material is issued and distributed in Thailand by JPMorgan Securities (Thailand) Ltd., which is a member of the Stock Exchange of Thailand and is regulated by the Ministry of Finance and the Securities and Exchange Commission. The registered address is 548 One City Center Building, 50th Floor, Ploenchit Road, Lumpini, Pathum Wan, Bangkok 10330.

UK: Research is produced in the UK by J.P. Morgan Securities plc ("JPMS plc") which is a member of the London Stock Exchange and is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority or J.P. Morgan Markets Limited ("JPML Ltd") which is authorised and regulated by the Financial Conduct Authority. Unless specified to the contrary, this material is distributed in the UK by JPMS plc and is directed in the UK only to: (a) persons having professional experience in matters relating to investments falling within article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) (Order) 2005 ("the FPO"); (b) persons outlined in article 49 of the FPO (high net worth companies, unincorporated associations or partnerships, the trustees of high value trusts, etc.); or (c) any persons to whom this communication may otherwise lawfully be made; all such persons being referred to as "UK relevant persons". This material must not be acted on or relied on by persons who are not UK relevant persons. Any investment or investment activity to which this material relates is only available to UK relevant persons and will be engaged in only with UK relevant persons.

A description of J.P. Morgan EMEA's policy for prevention and avoidance of conflicts of interest related to the production of Research can be found at the following link: [J.P. Morgan EMEA - Research Independence Policy](#).

U.S.: J.P. Morgan Securities LLC ("JPMS") is a member of the NYSE, FINRA, SIPC, and the NFA. JPMorgan Chase Bank, N.A. is a member of the FDIC. Material published by non-U.S. affiliates is distributed in the U.S. by JPMS who accepts responsibility for its content.

General: Additional information is available upon request. The information in this material has been obtained from sources believed to be reliable. While all reasonable care has been taken to ensure that the facts stated in this material are accurate and that the forecasts, opinions and expectations contained herein are fair and reasonable, JPMorgan Chase & Co. or its affiliates and/or subsidiaries (collectively J.P. Morgan) make no representations or warranties whatsoever to the completeness or accuracy of the material provided, except with respect to any disclosures relative to J.P. Morgan and the Research Analyst's involvement with the issuer that is the subject of the material. Accordingly, no reliance should be placed on the accuracy, fairness or completeness of the information contained in this material. There may be certain discrepancies with data and/or limited content in this material as a result of calculations, adjustments, translations to different languages, and/or local regulatory restrictions, as applicable. These discrepancies should not impact the overall investment analysis, views and/or recommendations of the subject company(ies) that may be discussed in the material. Artificial intelligence tools may have been used in the preparation of this material, including assisting in data analysis, pattern recognition, and content drafting for research material. J.P. Morgan accepts no liability whatsoever for any loss arising from any use of this material or its contents, and neither J.P. Morgan nor any of its respective directors, officers or employees, shall be in any way responsible for the contents hereof, apart from the liabilities and that may be imposed on them by the relevant regulatory authority in the jurisdiction in question, or the regulatory regime thereunder. Opinions, forecasts or projections contained in this material represent J.P. Morgan's current opinions or judgment as of the date of the material only and are therefore subject to change without notice. Periodic updates may be provided on companies/industries based on company-specific developments or announcements, market conditions or any other publicly available information. There can be no assurance that future results or events will be consistent with any such opinions, forecasts or projections, which represent only one possible outcome. Furthermore, such opinions, forecasts or projections are subject to certain risks, uncertainties and assumptions that have not been verified, and future actual results or events could differ materially. The value of, or income from, any investments referred to in this material may fluctuate and/or be affected by changes in exchange rates. All pricing is indicative as of the close of market for the securities discussed, unless otherwise stated. Past performance is not indicative of future results. Accordingly, investors may receive back less than originally invested. This material is not intended as an offer or solicitation for the purchase or sale of any financial instrument. The opinions and recommendations herein do not take into account individual client circumstances, objectives, or needs and are not intended as recommendations of particular securities, financial instruments or strategies to particular clients. This material may include views on structured securities, options, futures and other derivatives. These are complex instruments, may involve a high degree of risk and may be appropriate investments only for sophisticated investors who are capable of understanding and assuming the risks involved. The recipients of this material must make their own independent decisions regarding any securities or financial instruments mentioned herein and should seek advice from such independent financial, legal, tax or other adviser as they deem necessary. J.P. Morgan may trade as a principal on the basis of the Research Analysts' views and research, and it may also engage in transactions for its own account or for its clients' accounts in a manner inconsistent with the views taken in this material, and J.P. Morgan is under no obligation to ensure that such other communication is brought to the attention of any recipient of this material. Others within J.P. Morgan, including Strategists, Sales staff and other Research Analysts, may take views that are inconsistent with those taken in this material. Employees of J.P. Morgan not involved in the preparation of this material may have investments in the securities (or derivatives of such securities) mentioned in this material and may trade them in ways different from those discussed in this material. This material is not an advertisement for or marketing of any issuer, its products or services, or its securities in any jurisdiction.

Confidentiality and Security Notice: This transmission may contain information that is privileged, confidential, legally privileged, and/or exempt from disclosure under applicable law. If you are not the intended recipient, you are hereby notified that any disclosure, copying, distribution, or use of the information contained herein (including any reliance thereon) is STRICTLY PROHIBITED. Although this transmission and any attachments are believed to be free of any virus or other defect that might affect any computer system into which it is received and opened, it is the responsibility of the recipient to ensure that it is virus free and no responsibility is accepted by JPMorgan Chase & Co., its subsidiaries and affiliates, as applicable, for any loss or damage arising in any way from its use. If you received this transmission in error, please immediately contact the sender and destroy the material in its entirety, whether in electronic or hard copy format. This message is subject to electronic monitoring: <https://www.jpmorgan.com/disclosures/email>

MSCI: Certain information herein ("Information") is reproduced by permission of MSCI Inc., its affiliates and information providers ("MSCI") ©2026. No reproduction or dissemination of the Information is permitted without an appropriate license. MSCI MAKES NO EXPRESS OR IMPLIED WARRANTIES (INCLUDING MERCHANTABILITY OR FITNESS) AS TO THE INFORMATION AND DISCLAIMS ALL LIABILITY TO THE EXTENT PERMITTED BY LAW. No Information constitutes investment advice, except for any applicable Information from MSCI ESG Research. Subject also to [msci.com/disclaimer](https://www.msci.com/disclaimer)

Any mentions of third-party trademarks, brand names, products, and services are for referential purposes only and any mention thereof is not meant to imply any sponsorship, endorsement, or affiliation.

Sustainalytics: Certain information, data, analyses and opinions contained herein are reproduced by permission of Sustainalytics and: (1) includes the proprietary information of Sustainalytics; (2) may not be copied or redistributed except as specifically authorized; (3) do not constitute investment advice nor an endorsement of any product or project; (4) are provided solely for informational purposes; and (5) are not warranted to be complete, accurate or timely. Sustainalytics is not responsible for any trading decisions, damages or other losses related to it or its use. The use of the data is subject to conditions available at <https://www.sustainalytics.com/legal-disclaimers>. ©2026 Sustainalytics. All

Rights Reserved.

"Other Disclosures" last revised August 29, 2026.

Copyright 2026 JPMorgan Chase & Co. All rights reserved. This material or any portion hereof may not be reprinted, sold or redistributed without the written consent of J.P. Morgan. It is strictly prohibited to use or share without prior written consent from J.P. Morgan any research material received from J.P. Morgan or an authorized third-party ("J.P. Morgan Data") in any third-party artificial intelligence ("AI") systems or models when such J.P. Morgan Data is accessible by a third-party.

Completed 04 Sep 2026 06:53 PM BST

Disseminated 04 Sep 2026 11:45 PM BST